

Warsaw, January 25, 2023

Decision

DKE.561.24.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended), Article 7 sections 1 and 2, Article 60, Article 101, Article 101a, and Article 103 of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781), as well as Article 57 section 1 letters a) and h), Article 83 sections 1-2, and Article 83 section 6 in connection with Article 58 section 2 letters c) and i) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data (Official Journal of the EU L 119 of 04.05.2016, p. 1 and Official Journal of the EU L 127 of 23.05.2018, p. 1, as amended), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on E. Spółka z o.o. based in W. at ul. (...) the President of the Office for Personal Data Protection,

noting the failure of E. Spółka z o.o. based in W. at ul. (...) to comply with the order of the administrative decision of the President of the Office for Personal Data Protection dated May 6, 2021, reference number DS.523.152.2021, imposes on E. Spółka z o.o. based in W. at ul. (...) an administrative monetary penalty in the amount of 22,848 PLN (in words: twenty-two thousand eight hundred forty-eight zlotys).

JUSTIFICATION

Factual Background

The President of the Office for Personal Data Protection, hereinafter referred to as "the President of UODO," by administrative decision dated May 6, 2021, reference number DS.523.152.2021, hereinafter referred to as "the Decision," ordered E. Sp. z o.o. based in W. at ul. (...) hereinafter referred to as "the Company," to remove the personal data of Mr. M. M., residing in S. at ul. (...) concerning his first name, surname, PESEL number, and address of residence. The Decision is final. The Decision was received by the Company on May 13, 2021. The Decision was not appealed by the parties to the administrative proceedings to the Provincial Administrative Court in Warsaw, and thus it became legally binding on June 15, 2021.

In order to verify whether the obligation imposed by the Decision was fulfilled by the Company, the President of UODO, by letter dated May 19, 2022 (reference number DKE.560.52.2022), summoned the Company to provide explanations and present evidence confirming the execution of the Decision's order and informed the Company that a finding of non-compliance with the order issued by the President of UODO may result in the imposition of an administrative monetary penalty of up to 20,000,000 EUR in accordance with Article 83 section 6 of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data (Official Journal of the EU L 119 of 04.05.2016, p. 1 and Official Journal of the EU L 127 of 23.05.2018, p. 1, as amended), hereinafter referred to as "Regulation 2016/679." This letter was received by the addressee on May 24, 2022. The Company did not respond to the summons nor did it present any evidence confirming the execution of the Decision.

By letter dated June 30, 2022, reference number DKE.560.52.2022, the President of UODO issued a reminder to the Company, urging it to comply with the order of the Decision and to document the execution of this order. This letter was received by the addressee on July 5, 2022, and remained unanswered by the Company.

In light of the above, the President of UODO initiated ex officio the present administrative proceeding under reference number DKE.561.24.2022 regarding the imposition of an administrative monetary penalty for non-compliance with the order issued by the supervisory authority based on Article 58

section 2 of Regulation 2016/679. Information about the initiation of this proceeding was sent to the Company by letter dated August 24, 2022, reference number DKE.561.24.2022. In this letter, the Company was also summoned to present a financial report, and in the absence of such a report – a statement regarding the turnover and financial result for the year 2021 in order to determine the basis for the calculation of the administrative monetary penalty. Furthermore, it was indicated in this letter that if the Company presented evidence of full compliance with the order of the President of UODO's Decision, this circumstance may mitigate the administrative monetary penalty imposed in this proceeding or may lead to the decision not to impose it. This letter, despite being addressed to the registered office of the Company disclosed in the KRS (to which previous correspondence was directed), was not received by the Company and was deemed delivered on September 16, 2022, based on the principle of fiction of delivery, in accordance with Article 44 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2022, item 2000, as amended).

By the date of this decision, the Company has not provided any explanations regarding the execution of the Decision's order nor has it presented any evidence of compliance with the Decision's order.

After reviewing all the evidence collected in the case, the President of the Office for Personal Data Protection considered the following.

Legal Justification

Pursuant to Article 57(1) of Regulation 2016/679, without prejudice to other tasks specified under this regulation, each supervisory authority in its territory (including the President of the Personal Data Protection Office in the territory of the Republic of Poland) monitors and enforces compliance with the regulation (Article 57(1)(a)) and conducts proceedings regarding its application (Article 57(1)(h)). In order to fulfill the tasks referred to in Article 57(1) of Regulation 2016/679, the President of the Personal Data Protection Office is granted corrective powers under Article 58(2) of Regulation 2016/679, including in particular the power to order the data controller to comply with the request of the data subject arising from the rights granted to them under this regulation (Article 58(2)(c)), as well as the power to impose, in addition to or instead of other measures referred to in Article 58(2) of Regulation 2016/679, an administrative fine under Article 83 of this regulation (Article 58(2)(i)). According to Article 83(6) of the GDPR, non-compliance with an order issued by the supervisory authority under Article 58(2) is subject to an administrative fine of up to EUR 20,000,000, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

In accordance with the accountability principle formulated in Article 5(2) of Regulation 2016/679, the data controller is responsible for compliance with the provisions of paragraph 1 of this article (including – in accordance with the so-called legality principle – for processing personal data "lawfully") and must be able to demonstrate compliance. The application of the accountability principle in this case means that the Entrepreneur is obliged – particularly in the proceedings before the President of the Personal Data Protection Office – to prove the execution of the order of the decision, which execution would be equivalent to restoring the processing of personal data to a lawful state. Such implications of the accountability principle are confirmed by the doctrine of data protection law, according to which: "The assertion that the data controller should be able to demonstrate compliance with the principles can be interpreted as imposing a burden of proof on the data controller regarding compliance with data processing principles. In the event of a dispute with the data subject or with the supervisory authority, the data controller should be able to present evidence that it complies with the principles. Such evidence may primarily consist of documents related to data processing and protection." (P. Fajgielski [in:] Commentary on Regulation No. 2016/679 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) [in:] General Data Protection Regulation. Personal Data Protection Act. Commentary, Warsaw 2018).

11. In assessing whether and, if so, to what extent an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or

purpose of the processing in question, the number of data subjects affected, and the level of damage suffered by them;

b) the intentional or unintentional nature of the infringement;

c) the actions taken by the data controller or processor to mitigate the damage suffered by the data subjects;

d) the degree of responsibility of the data controller or processor, taking into account the technical and organizational measures implemented by them under Articles 25 and 32;

e) any relevant previous infringements by the data controller or processor;

f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible adverse effects;

g) the categories of personal data affected by the infringement;

h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the data controller or processor reported the infringement;

i) if measures referred to in Article 58(2) have previously been applied to the data controller or processor in the same matter, compliance with those measures;

j) the use of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42;

k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained in connection with the infringement or avoided losses. Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

For the purpose of determining the basis for the administrative fine, the entity against which the proceedings are conducted is obliged – based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o." – at the request of the President of the Personal Data Protection Office to provide the data necessary to determine this basis.

However, in the event of failure to provide this data by the entity subject to penalty, the President of the Personal Data Protection Office (UODO) – in accordance with Article 101a, paragraph 2 of the Act on the Protection of Personal Data (u.o.d.o) – establishes the basis for the calculation of the administrative monetary penalty in an estimated manner, taking into account the size of the entity, the specificity of the business activity it conducts, or publicly available financial data concerning the entity.

Pursuant to Article 103 of the u.o.d.o., the equivalent amounts expressed in euros, referred to in Article 83 of Regulation 2016/679, are calculated in Polish zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

Referring the aforementioned provisions to the established factual state in the case, it should be emphasized first and foremost that the burden of proving the execution of the order of the decision regarding the processing of personal data based on Regulation 2016/679 (GDPR) rests on the data controller – this follows directly from the principle of accountability established in the GDPR (see point 10 of the justification of the decision).

The Company, as the data controller and the addressee of the decision of the President of UODO dated May 6, 2021, reference number DS.523.152.2021, did not prove the execution of the order of the decision, despite the calls directed by the authority preceding the initiation of these proceedings regarding the imposition of an administrative monetary penalty. These circumstances lead to the conclusion that the Company did not execute (or, in accordance with the terminology used by the EU legislator in Article 83, paragraph 6 of Regulation 206/679 – "did not comply with") the aforementioned order of the administrative decision of the President of UODO.

In light of the above findings, the President of UODO stated that in this case there were grounds

justifying the imposition on the Company – pursuant to Article 83, paragraph 6 of the GDPR – of an administrative monetary penalty for non-compliance with the administrative decision of the President of UODO dated May 6, 2021, reference number DS.523.152.2021.

According to Article 83, paragraph 2 of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of circumstances listed in points a) to k) of the aforementioned provision are taken into account. In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of UODO considered – among them – the following circumstances that aggravate the assessment of the violation:

1. The nature, gravity, and duration of the violation (Article 83, paragraph 2, letter a) of Regulation 2016/679).

The Company's violation in this case, consisting of non-compliance with the order of the administrative decision of the President of UODO, which is the competent authority for personal data protection and supervisory authority in the meaning of the GDPR, should be considered as significantly undermining the personal data protection system. Additionally, it should be emphasized that since the Decision mandated the deletion of personal data, its non-execution indicates further unlawful processing of that data. For this reason, the violation is of high gravity and reprehensible character. This gravity is further increased by the fact that this situation has persisted since May 13, 2021, i.e., from the date the Company received the final Decision until the date of this decision.

2. The intentional nature of the violation (Article 83, paragraph 2, letter b of Regulation 2016/679).

In the opinion of the President of UODO, the Company's omission is intentional. The Company received both the Decision and the subsequent request to provide evidence of its execution, as well as a reminder calling for compliance with the Decision. It must therefore be accepted as undisputed that the Company is fully aware of the obligation it bears, when it should be executed, and also of the consequences of non-compliance with this obligation. Thus, it should be concluded that the Company's lack of response to the above must have been the result of its conscious decision.

3. The degree of cooperation with the supervisory authority to remedy the violation and mitigate its potential negative effects (Article 83, paragraph 2, letter f of Regulation 2016/679).

In the opinion of the President of UODO, the Company did not undertake any cooperation with the President of UODO during these proceedings to remedy the violation and mitigate its negative effects. In particular, the Company did not respond to the decision directed to it and did not reply to the calls addressed to it. The fact that the Company completely disregarded the obligation imposed on it by the Decision and did not cooperate with the President of UODO is another clear reason for applying sanctions in the form of an administrative monetary penalty.

In the opinion of the President of UODO, none of the circumstances referred to in Article 83, paragraph 2 of Regulation 2016/679 argue for mitigating the established – taking into account the aforementioned aggravating circumstances – amount of the imposed penalty.

Due to the specific nature of the violation (concerning the relationship between the supervisory authority and the controller, and not the controller with the data subjects), the following circumstances could not be taken into account in this case: actions taken by the controller to...

****Minimization of harm suffered by data subjects (Article 83(2)(c) of Regulation 2016/679)****

Due to the fact that no harm has occurred to individuals in this case, there is no obligation or possibility for the Company to take any actions aimed at minimizing such harm.

****Degree of responsibility of the controller, taking into account the technical and organizational measures implemented by them (Article 83(2)(d) of Regulation 2016/679)****

The infringement in question is not related to the organizational and technical measures implemented by the Company to ensure the protection of personal data and the security of processing.

****Categories of personal data affected by the infringement (Article 83(2)(g) of Regulation 2016/679)****

Since the infringement in question does not involve a breach of any personal data, this criterion could not be taken into account.

****Other circumstances referred to in Article 83(2) of Regulation 2016/679****

After assessing their impact on the infringement identified in this case, the President of the UODO has deemed the following circumstances to be neutral for the assessment of the infringement identified in this case:

- Any relevant prior infringements by the controller or processor (Article 83(2)(e) of Regulation 2016/679).

The President of the UODO did not find any prior infringements of data protection regulations committed by the Company, and therefore there are no grounds to consider this circumstance as aggravating. Since such a state (compliance with data protection regulations) is a natural state resulting from the legal obligations imposed on the Company, it cannot also have a mitigating effect on the assessment of the infringement made by the President of the UODO.

****The manner in which the supervisory authority became aware of the infringement (Article 83(2)(h) of Regulation 2016/679)****

The President of the UODO became aware of the infringement identified in this case ex officio while conducting a verification procedure regarding the execution of the decision with reference number DKE.560.52.2022. Knowledge of the infringement arises from the analysis of the course of this procedure. This circumstance has neither an aggravating nor a mitigating effect on the amount of the administrative fine imposed on the Company.

****Compliance with previously applied measures in the same case (Article 83(2)(i) of Regulation 2016/679)****

The President of the UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in this case and did not monitor any actions taken by the Company related to their application, which could have influenced the assessment of the infringement.

****Application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679)****

The Company does not apply any codes of conduct or approved certification mechanisms. The use of such self-regulatory instruments by controllers is not mandatory; therefore, the circumstance of their non-application cannot be treated as aggravating in the assessment of the infringement. If the Company had implemented and adhered to an approved code of conduct or certification mechanism, the supervisory authority could have considered this fact in its favor as a measure ensuring a higher than standard level of protection.

****Financial benefits obtained or losses avoided in connection with the infringement (Article 83(2)(k) of Regulation 2016/679)****

In this proceeding, the President of the UODO did not find that the Company, in connection with non-compliance with the order, obtained any financial benefits or avoided losses. The circumstance that the controller achieved financial benefits in connection with the infringement of data protection regulations is perceived as aggravating and may constitute a clear basis for the imposition of an administrative fine, while the absence of any benefits is not a mitigating factor.

****Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679)****

After a thorough examination of the case, the President of the UODO did not note any circumstances other than those described above that could affect the assessment of the infringement and the amount of the imposed administrative fine.

In accordance with the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In the opinion of the President of the UODO, the fine imposed on the Company in this proceeding meets these criteria.

The imposition of the penalty will discipline the Company to comply with the orders of the

decision and to cooperate properly with the President of the UODO in any other proceedings conducted in the future involving the Company. The penalty imposed by this decision is – in the opinion of the President of the UODO – a response to the violation that is both effective and proportional to the seriousness of the established violation. This penalty will also serve a deterrent function. It should be noted that, in the opinion of the President of the UODO, the imposition of an administrative monetary penalty on the Company is a measure that will ensure compliance with the order issued against it by the decision of May 6, 2021, ref. DS.523.152.2021.

Due to the Company's failure to provide financial data for the year 2021, the President of the UODO, in determining the amount of the administrative monetary penalty in this case, took into account the estimated size of the Company and the specificity, scope, and scale of its activities based on Article 101a(2) of the Personal Data Protection Act and the last available financial report of the Company for 2020 on the National Court Register website <https://ekrs.ms.gov.pl>. The financial data of the Company indicates that the turnover (net sales revenue) in 2020 amounted to PLN 1,605,986.35. Considering the above, the imposed monetary penalty will not be associated with excessive financial burden for the Company's operations.

According to the wording of Article 103 of the Personal Data Protection Act, the equivalent amounts expressed in euros, referred to in Article 83 of Regulation 2016/679, are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year - according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date. In this proceeding, the President of the UODO, for the violation described in the operative part of this decision, imposed on the Company - using the average euro exchange rate from January 28, 2022 (1 EUR = 4.5697 PLN) - an administrative monetary penalty in the amount of PLN 22,848 (which constitutes the equivalent of EUR 5,000).

Having considered the above, the President of the UODO ruled as stated in the operative part of this decision.

Instruction

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended) (hereinafter "p.p.s.a."), the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 - 193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the request of the Party submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiry of the deadline for filing a complaint to the Provincial Administrative Court, or from the day the decision of the administrative court becomes final, to the bank account of the Personal Data Protection Office at NBP 0/0 Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105(2) of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request of the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid

amount at an annual rate, applying a reduced late payment interest rate announced based on Article 56d of the Act of August 29, 1997 - Tax Ordinance (Journal of Laws of 2021, item 1540, as amended), from the day following the day of submission of the request.

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